

Accounts Payable Invoice Payment Procedure

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AP-1.1 Purpose

This procedure (ap-us-0001, v2.0) governs the review, verification, and payment of vendor invoices. Amounts stated in this procedure are in USD. This procedure applies to all invoices submitted for payment by any business unit. This version replaces ap-us-0001-v1.0, effective 2023-01-01, and is the current rule for payment decisions.

AP-2.1 Definitions

Purchase order (PO) means the company's authorized order for goods or services, specifying vendor, quantity, and price. Delivery record means documented confirmation that goods or services were received, including quantity and description. Invoice means the vendor's request for payment, itemizing goods or services rendered, quantities, and price. Three-way match means the comparison of the purchase order, the delivery record, and the invoice to confirm agreement before payment. Duplicate payment means a second payment made against an invoice, purchase order, or vendor-and-amount combination already paid.

AP-3.1 Matching requirements

An invoice shall be paid only where the purchase order, the delivery record, and the invoice agree on vendor, item description, quantity, and price. The AP clerk shall perform this three-way match at intake and record the outcome against the invoice before it proceeds to payment.

AP-3.2 Discrepancy handling

Where the three-way match fails due to a difference in quantity, price, or description, the invoice is placed on hold and referred to the AP supervisor. The AP supervisor shall work with the vendor or the requesting department to resolve the discrepancy before the invoice is released for payment. An invoice on hold does not begin the payment period described in Section AP-6.1 until the discrepancy is resolved and the match is confirmed.

AP-4.1 Intake and logging

An invoice is logged at the point of receipt, with the invoice date, vendor, amount, and associated

purchase order number recorded by the AP clerk. An invoice received without an associated purchase order is recorded as unmatched and referred to the AP supervisor for resolution before further processing.

AP-4.2 Duplicate payment controls

Before payment, the AP clerk shall confirm that no prior payment exists against the same invoice number, purchase order, and vendor. The payment system flags a potential duplicate where vendor, amount, and invoice number match an existing paid record; a flagged invoice may not be paid until the AP supervisor confirms it is not a duplicate. A duplicate payment identified after the fact shall be recorded and referred to the finance manager for recovery.

AP-5.1 Approval thresholds

An invoice of \$10,000 or more requires the approval of the finance manager before payment. The AP clerk records this approval against the invoice prior to release. An invoice below this threshold may be released by the AP clerk upon successful three-way match, without further approval.

AP-6.1 Payment timing

An invoice shall be paid within 30 days of the date the three-way match is confirmed. Where an invoice cannot be paid within this period, the AP clerk shall record the reason for the delay and notify the AP supervisor.

AP-7.1 Exception and escalation

Where a discrepancy under Section AP-3.2 remains unresolved, or where an approval required under Section AP-5.1 has not been obtained as the 30-day payment period in Section AP-6.1 approaches, the AP supervisor shall escalate the invoice to the finance manager. The finance manager may approve payment, request further information, or direct that the invoice be returned to the vendor.

AP-8.1 Recording and outcome

The outcome of the match, approval, and payment is recorded against the original invoice record, including the date paid, amount paid, and any approving party. A record of any duplicate identified, discrepancy raised, or exception escalated is retained with the invoice for audit purposes.